PRESS RELEASE AND REPORT

ALBERTA	Subsections 176(1), 176(2), and 176(3) of the *Securities Act* (Alberta)
BRITISH COLUMBIA	Subsections 111(1) and 111(2) of the *Securities Act* (British Columbia)
MANITOBA	Subsections 92(1) and 92(2) of the *Securities Act* (Manitoba)
NEWFOUNDLAND	Subsections 102(1) and 102(2) of the *Securities Act* (Nova Scotia)
NOVA SCOTIA	Subsections 107(1) and 107(2) of the *Securities Act* (Ontario)
ONTARIO	Subsections 101(1) and 101(2) of the *Securities Act* (Ontario)
QUEBEC	Sections 147.11 and 147.12 of the *Securities Act* (Quebec)
SASKATCHEWAN	Subsections 110(1) and 110(2) of the *Securities Act, 1988* (Saskatchewan)

1. **Name and address of the offeror:**

   Maple Leaf Foods Inc.
   30 St. Clair Ave. West
   Toronto, Ontario
   M4V 3A2

2. **Designation and number or principal amount of securities and the offeror's securityholding percentage in the class of securities of which the offeror acquired ownership or control in the transaction or occurrence giving rise to the obligation to file the report, and whether it was ownership or control that was acquired in those circumstances:**

   On August 22, 2003 Canadian Bakeries Inc., a wholly-owned subsidiary of Maple Leaf Foods Inc. ("Maple Leaf"), acquired 903,100 common shares (the "Shares") of Canada Bread Company, Limited ("Canada Bread"). Prior to this transaction, Maple Leaf directly and indirectly through its wholly-owned subsidiary Canadian Bakeries Inc., beneficially owned and controlled 20,618,015 common shares representing approximately 81.1% of the outstanding common shares of Canada Bread.

3. **Designation and number or principal amount of securities and the offeror's securityholding percentage in the class of securities immediately after the transaction or occurrence giving rise to obligation to file the report:**

After acquiring the Shares indicated in question 2, Maple Leaf will control 21,521,115 common shares representing approximately 84.7% of the outstanding common shares of Canada Bread

4. **Designation and number or principal amount of securities and the percentage of outstanding securities of the class of securities referred to in paragraph 3 over which:**

   (i) **the offeror, either alone or together with any joint actors, has ownership and control,**

   (ii) **the offeror, either alone or together with any joint actors, has ownership but control is held by other persons or companies other than the offeror or any joint actor, and**

   (iii) **the offeror, either alone or together with any joint actors, has exclusive or shared control but does not have ownership;**

Maple Leaf has control of the common shares indicated in paragraph 3.

5. **Name of the market in which the transaction or occurrence that gave rise to the report took place:**

The Shares were acquired by way of private agreement.

6. **Purpose of the offeror and any joint actors in effecting the transaction or occurrence that gave rise to the report, including any future intention to acquire ownership of, or control over, additional securities of the reporting issuer:**

The Shares were acquired for investment purposes. Maple Leaf may or may not purchase additional common shares of Canada Bread in the future, depending on market conditions.

7. **General nature and the material terms of any agreement, other than lending arrangements, with respect to securities of the reporting issuer entered into by the offeror, or any joint actor, and the issuer of the securities or any other entity in connection with the transaction or occurrence giving rise to the report, including agreements with respect to the acquisition, holding, disposition or voting of any of the securities:**

Maple Leaf and Canadian Bakeries Inc., a wholly-owned subsidiary of Maple Leaf, entered into an agreement with an institutional investor to acquire the Shares on August 22, 2003. The agreement contained customary representations and warranties with respect to due authorization, title to the shares and authority to sell the Shares. The acquisition closed on August 25, 2003.

8. **Names of any joint actors in connection with the disclosure required by this report:**

Not applicable.

9. **The nature and value of the consideration paid by the Offeror:**

The Shares were acquired at $26.50 per share for an aggregate purchase price of $23,932,150. The purchase price was paid in cash.

10. **Where applicable, a description of any change in any material fact set out in a previous report filed under the early warning requirements of applicable Canadian securities legislation:**

Not applicable.

DATED at Toronto, Ontario as of August 25, 2003.

MAPLE LEAF FOODS INC.

By: ***"Thomas Muir"***
Name: Thomas Muir
Title: Chief Financial Officer